

Pharma Research

 **Neutral**

Side biz supporting a faltering core biz

Key Points

- 1Q26 OP beat our estimate on improved cosmetics business profitability, led by geographic and sales channel diversification
 - The emerging cosmetics franchise is cushioning the slowdown in the Rejuran medical device business, both in Korea and overseas.
 - Cut TP 11% to Won330K as we turn more conservative on Rejuran export sales as we expect headwinds in key global markets to persist. Remain Neutral.
- **1Q beat MQe, in line with consensus.** Pharma Research posted in-line sales of Won146bn, while OP of Won57bn (+10% QoQ) outpaced MQe by 11%, on improving profitability in the cosmetics business.
 - **Rejuran losing momentum at home and abroad.** Domestic medical device sales fell 2% QoQ as foreign patient spending at derma clinics declined in 1Q. This contrasts with 1Q25 and 1Q24, when Rejuran defied seasonality and delivered stronger sales in 1Q than in the typically strong 4Q. Export medical device sales also dropped 10% QoQ on hiccups in key markets. In China, regulatory pressure on Rejuran continues, while in Japan the repurchase cycle is lengthening.
 - **EU ramp-up, but still no ASP adjustment plan.** Rejuran posted Won2bn of export sales to the EU in 1Q, and mgmt noted the second shipment went out in April. Despite higher treatment prices overseas, mgmt is maintaining its pricing strategy of keeping overseas ASP broadly aligned with domestic levels, on concerns widening regional price gaps could trigger parallel imports. In our view, this remains a missed opportunity.
 - **Cosmetics growth cushioning slowdown in medical devices.** Cosmetics revenue reached Won42bn, +12% YoY. Domestic growth was driven by spending from tourists, while overseas rev grew through higher-margin channels such as US med spas and Southeast Asia's Shopee platform. Its products also became available at Sephora in China and the US in 1Q.

Earnings changes: We cut our FY26/27/28 EPS estimates -14%/-16%/-15%, reflecting more conservative medical device export sales assumptions as consumption headwinds continue across key Asian markets.

Valuation: Cut TP 11% to Won330,000 (from Won370,000) on slowing Rejuran export sales, maintaining our target P/E multiple of 21x FY26E EPS.

Catalysts: Upside: Deeper CVC involvement in day-to-day operations, Rejuran overseas wholesale price hike. Downside: intensified domestic competition.

Investment Thesis and Recommendation

Global demand for Rejuran should accelerate as its injectables and cosmetics penetrate overseas markets. However, recent hiccups in EU rollout and overseas pricing policies raise concerns about mgmt's execution capability.

Pharma, Biotech & Life Sciences Korea



**Jun
Choi**

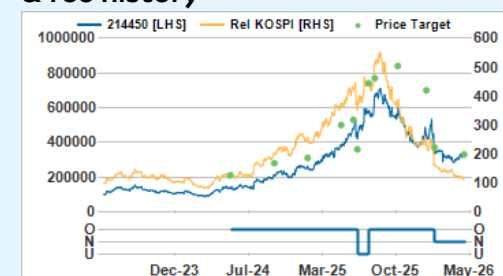
214450 KS	Neutral
Price (at 8 May 2026)	KRW341,000
12-month target	KRW330,000
12-month TSR (%)	(1.9)
Volatility Index	High
Market Cap (Local) (m)	3,542,870
Market Cap (USD) (m)	2,437
Free Float (%)	54
30-day avg turnover (USD) (m)	19.6

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	536.3	663.4	781.5	907.3
Revenue growth (%)	53.2	23.7	17.8	16.1
EBIT (bn)	214.4	259.5	305.1	356.9
EBIT growth (%)	70.1	21.0	17.6	17.0
Reported profit (bn)	165.1	182.2	214.6	255.1
Adjusted profit (bn)	165.1	182.2	214.6	255.1
EPS rep [KRW]	14,241.1	15,754.2	18,557.0	22,054.3
EPS rep growth (%)	65.9	10.6	17.8	18.8
EPS adj [KRW]	14,245.9	15,754.2	18,557.0	22,054.3
EPS adj growth (%)	64.7	10.6	17.8	18.8
Net debt/equity (%)	(24.2)	(31.9)	(40.2)	(47.3)
ROA (%)	22.6	23.2	23.9	24.4
ROE (%)	26.9	23.9	23.4	23.2
PER rep (x)	23.9	21.6	18.4	15.5
PER adj (x)	23.9	21.6	18.4	15.5
EV/EBITDA (x)	15.9	13.2	11.3	9.8
P/BV (x)	5.7	4.7	3.9	3.3
Total div yield (%)	1.1	1.3	1.6	1.8

Quant (rank vs. global sector) 635 / 1,210

214450 KS rel KOSPI performance, & rec history



Source: FactSet, Macquarie Research, May 2026 (all figures in KRW unless noted, TP in KRW)

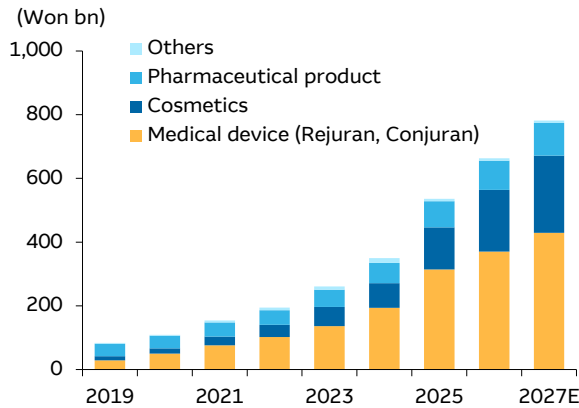
Key Risks to Investment Thesis

- Downside: Increased domestic competition from generics/ vague mgmt communication to investors.
- Upside: PE involvement in IR and day-to-day operations/ wholesale price hikes for injectables.

Company Description

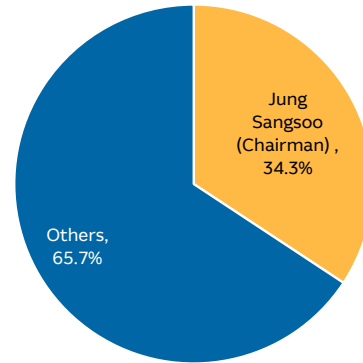
Pharma Research gained recognition with the launch of its signature skin booster, "Rejuran," in 2014. Pioneering the manufacturing technology for PDRN, a tissue-regenerative raw material sourced from Salmon DNA, underscores the company's innovative prowess. Expanding beyond medical aesthetic products, Pharma Research now offers a diverse portfolio encompassing cosmetics, pharmaceuticals, and health supplements

Figure 1 - Pharma Research: Sales mix



Source: Company data, Macquarie Research, May 2026

Figure 2 - Pharma Research: Stock ownership



Source: Bloomberg, Macquarie Research, May 2026

As of 8 May 2026.

Pharma Research (214450 KS) KRW/(bn) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q1/26A	Q2/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		536.3	663.4	781.5	907.3	146.1	161.5	Cash	175.7	277.2	417.0	584.6
Cost of Goods Sold		125.1	155.1	178.2	210.2	33.2	38.8	Receivables	44.5	56.7	64.4	70.4
Gross Profit		411.2	508.3	603.3	697.1	112.9	122.7	Inventories	82.7	101.4	109.6	125.8
EBITDA		230.2	276.3	322.6	375.2	61.4	68.3	Investments	398.8	398.8	398.8	398.8
Depreciation		11.4	12.8	14.0	15.2	3.1	3.2	Fixed Assets	174.6	192.5	209.2	224.8
Amortisation		4.4	4.0	3.5	3.0	1.1	1.0	Intangibles	31.5	27.4	24.0	20.9
EBIT		214.4	259.5	305.1	356.9	57.3	64.1	Other Assets	136.3	136.3	136.3	136.3
Net Interest Income		(9.4)	4.0	4.0	4.0	1.0	1.0	Total Assets	1,044	1,190	1,359	1,562
Associates		0.4	0.8	0.8	0.8	0.2	0.2	Payables	11.5	14.1	15.2	17.5
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	0.0	0.0	0.0	0.0
Forex Gains / Losses		0.0	0.0	0.0	0.0	0.0	0.0	Long Term Debt	0.4	0.4	0.4	0.4
Other Pre-Tax Income		11.1	9.5	0.0	0.0	9.5	0.0	Other Liabilities	308.1	308.1	308.1	308.1
Pre-Tax Profit		216.5	273.8	309.8	361.7	68.0	65.3	Total Liabilities	320.0	322.6	323.7	326.0
Tax Expense		(48.3)	(64.5)	(68.2)	(79.6)	(19.3)	(14.4)	Shareholders' Funds	690.9	834.7	1,003	1,203
Net Profit		168.3	209.3	241.7	282.1	48.7	50.9	Minority Interests	34.6	34.6	34.6	34.6
Minority Interests		(3.1)	(27.0)	(27.0)	(27.0)	(6.8)	(6.8)	Other	(1.6)	(1.6)	(1.6)	(1.6)
Reported Earnings		165.1	182.2	214.6	255.1	42.0	44.2	Total S/H Equity	723.9	867.7	1,036	1,236
Adjusted Earnings		165.1	182.2	214.6	255.1	42.0	44.2	Total Liab & S/H Funds	1,044	1,190	1,359	1,562
Basic Shares Outstanding		0.0	0.0	0.0	0.0	0.0	0.0	Net Debt / Equity (%)	(24.2)	(31.9)	(40.2)	(47.3)
Diluted Shares Outstanding		0.0	0.0	0.0	0.0	0.0	0.0	Interest Cover (x)	22.8	NM	NM	NM
EPS (rep) [KRW]		14,241.1	15,754.2	18,557.0	22,054.3	3,630	3,820	ROE (%)	26.9	23.9	23.4	23.2
EPS (adj) [KRW]		14,245.9	15,754.2	18,557.0	22,054.3	3,630	3,820	ROA (%)	22.6	23.2	23.9	24.4
Total DPS [KRW]		3,699.7	4,500.0	5,300.0	6,300.0	0.0	0.0	ROIC (%)	41.1	36.1	40.3	45.0
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		53.2	23.7	17.8	16.1	-	-	EBITDA	230.2	276.3	322.6	375.2
EBITDA Growth (%)		64.8	20.0	16.8	16.3	-	-	Tax Paid	(48.3)	(64.5)	(68.2)	(79.6)
EBIT Growth (%)		70.1	21.0	17.6	17.0	-	-	Chgs in Working Cap	(31.0)	(28.3)	(14.8)	(20.0)
EPS Growth (adj) (%)		64.7	10.6	17.8	18.8	-	-	Net Interest Paid	(9.4)	4.0	4.0	4.0
Gross Profit Margin (%)		76.7	76.6	77.2	76.8	-	-	Other	41.6	10.3	0.8	0.8
EBITDA Margin (%)		42.9	41.7	41.3	41.4	-	-	Operating Cashflow	183.2	197.7	244.4	280.4
EBIT Margin (%)		40.0	39.1	39.0	39.3	-	-	Acquisitions	0.0	0.0	0.0	0.0
Net Profit Margin (%)		30.8	27.5	27.5	28.1	-	-	Capex	(29.7)	(30.8)	(30.8)	(30.8)
Payout Ratio (%)		26.0	28.6	28.6	28.6	-	-	Other	(126.2)	(27.0)	(27.0)	(27.0)
PE (rep) (x)		23.9	21.6	18.4	15.5	-	-	Investing Cashflow	(155.9)	(57.8)	(57.8)	(57.8)
PE (adj) (x)		23.9	21.6	18.4	15.5	-	-	Dividend (Ordinary)	(11.7)	(38.4)	(46.8)	(55.1)
EV/EBITDA (x)		15.9	13.2	11.3	9.8	-	-	Equity Raised	(3.7)	0.0	0.0	0.0
EV/EBIT (x)		17.1	14.1	12.0	10.3	-	-	Debt Movements	(1.0)	0.0	0.0	0.0
Price/Book (x)		5.7	4.7	3.9	3.3	-	-	Other	1.2	0.0	0.0	0.0
Total Div Yield (%)		1.1	1.3	1.6	1.8	-	-	Financing Cashflow	(15.3)	(38.4)	(46.8)	(55.1)
								Net Chg in Cash/Debt	10.3	101.5	139.9	167.5
								Free Cashflow	153.4	167.0	213.7	249.6

Source: Company data, Macquarie Research May 2026

Figure 3 - Pharma Research: 1Q26 earnings

(Won bn)	1Q26	QoQ	YoY	4Q25	1Q25	MQ est.	Diff	Bloomberg	Diff
Sales	146	2%	25%	143	117	148	-1%	147	-1%
OP	57	10%	28%	52	45	52	11%	59	-2%
NP	49	24%	35%	39	36	41	19%	44	10%
OPM	39%			36%	38%	35%		40%	
NPM	33%			27%	31%	28%		30%	

Source: Company data, Bloomberg, Macquarie Research, May 2026

Figure 4 - Pharma Research: Valuation

12-month fair value	(A) x (B)	330,000
2026E EPS	(A)	15,754
Target P/E ratio	(B)	21x
Current share price	(As of 08 May)	341,000
Upside		-3%

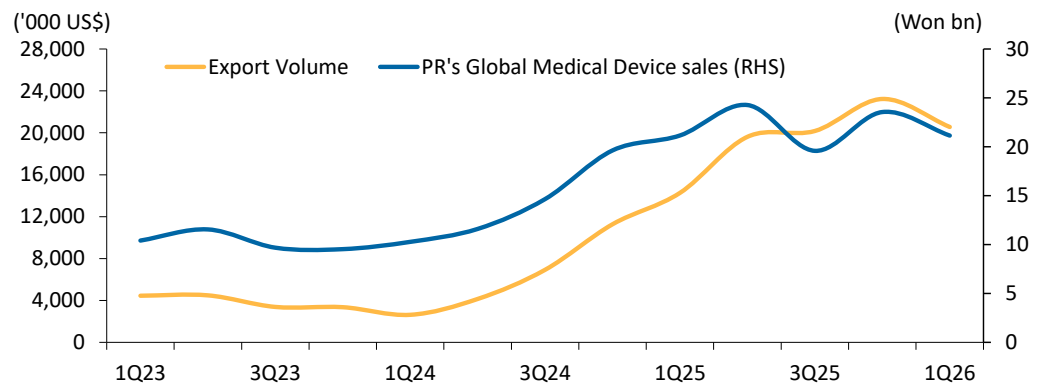
Source: Macquarie Research, May 2026

Figure 5 - Pharma Research: Earnings outlook

(Won bn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Sales	117	141	135	143	146	162	173	183	536	663	782	907
Domestic	72	90	85	85	88	97	102	107	332	395	463	521
Global	45	51	50	58	58	64	71	76	204	269	318	386
Medical device	69	85	77	83	80	92	97	102	314	371	429	482
Domestic	48	61	57	60	58	66	69	71	226	264	304	334
Global	21	24	20	24	21	26	29	31	89	106	125	148
Cosmetics	28	31	35	38	42	46	50	55	132	194	242	302
Domestic	11	11	13	12	15	18	19	21	47	73	92	115
Global	17	19	22	26	27	29	31	34	84	121	150	187
Pharmaceutical product	17	20	22	23	21	22	24	24	83	92	103	115
Domestic	11	13	13	14	11	12	13	13	51	50	60	64
Global (Toxin)	7	7	9	9	10	10	11	11	31	42	43	51
OP	45	56	62	52	57	64	70	68	214	259	305	357
NP	36	42	51	39	49	51	56	54	165	182	215	255
Product Mix												
Medical device	59%	60%	57%	58%	54%	57%	56%	56%	59%	56%	55%	53%
Cosmetics	24%	22%	26%	26%	29%	29%	29%	30%	25%	29%	31%	33%
Pharmaceutical product	15%	15%	16%	16%	15%	14%	14%	13%	15%	14%	13%	13%
GROWTH	(%QoQ)								(%YoY)			
Sales		20%	-4%	6%	2%	11%	7%	6%		24%	18%	16%
Medical device		22%	-10%	8%	-4%	15%	6%	5%		18%	16%	12%
Cosmetics		10%	14%	7%	12%	10%	8%	9%		47%	25%	25%
Pharmaceutical product		19%	8%	4%	-7%	3%	8%	2%		11%	12%	12%
OP		25%	11%	-16%	10%	12%	9%	-3%		21%	18%	17%
NP		17%	21%	-23%	24%	5%	9%	-3%		10%	18%	19%
PROFITABILITY												
OPM	38%	40%	46%	36%	39%	40%	40%	37%	40%	39%	39%	39%
NPM	31%	30%	38%	27%	33%	32%	32%	30%	31%	27%	27%	28%

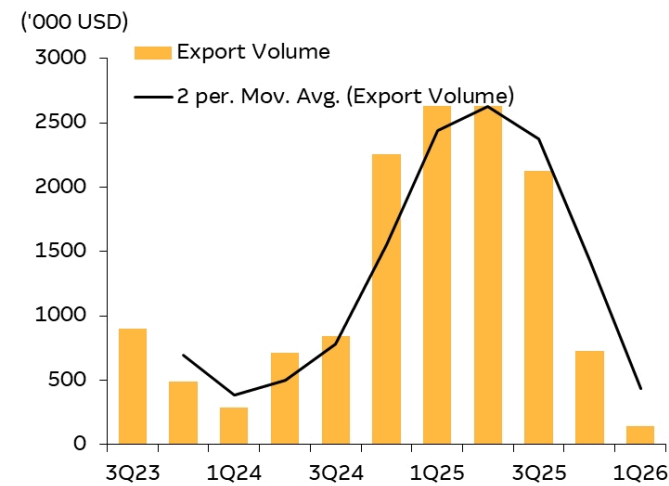
Source: Company data, Macquarie Research, May 2026

Figure 6 - Rejuran exports are slowing



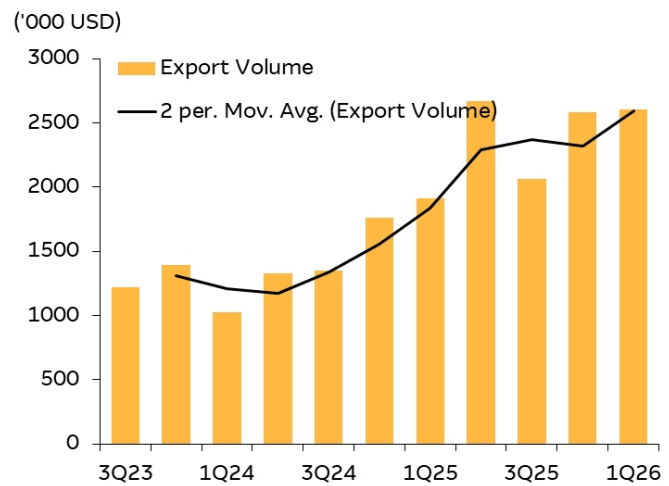
Source: KITA, company data, Macquarie Research, May 2026

Figure 7 - Japan export data trend



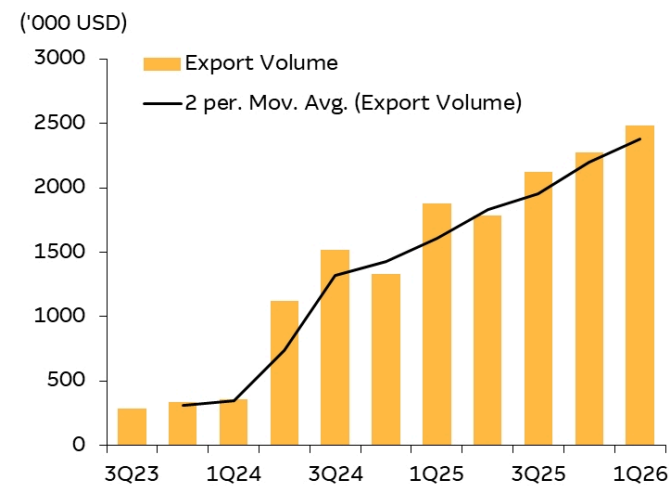
Source: KITA, Macquarie Research, May 2026

Figure 8 - China export data trend



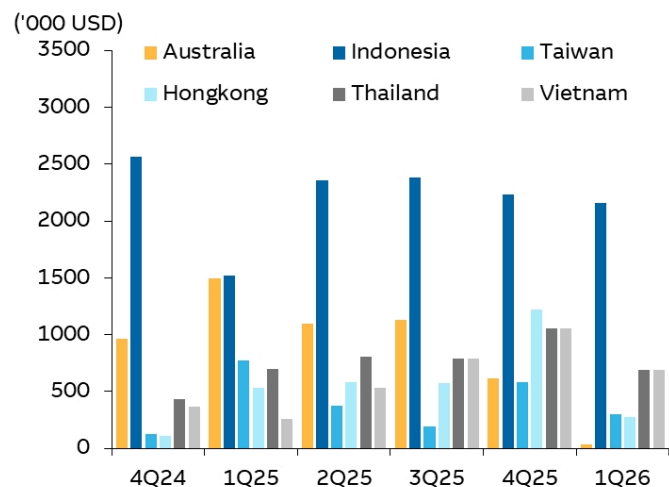
Source: KITA, Macquarie Research, May 2026

Figure 9 - Singapore export data trend

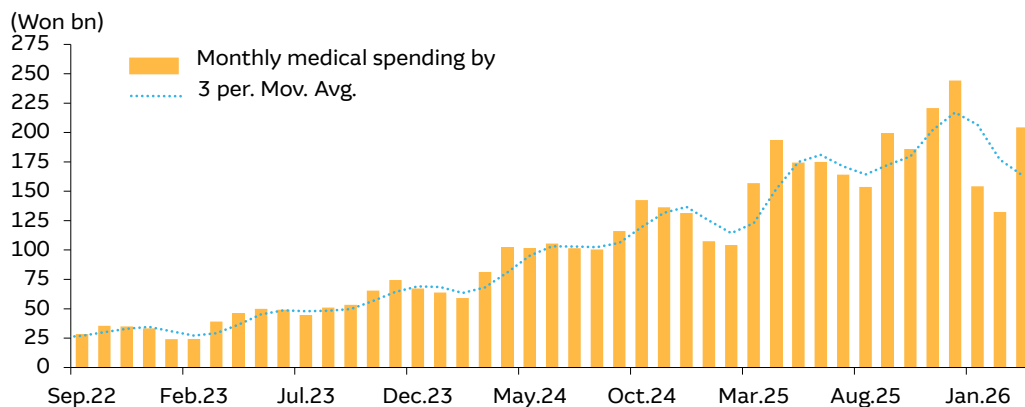


Source: KITA, Macquarie Research, May 2026

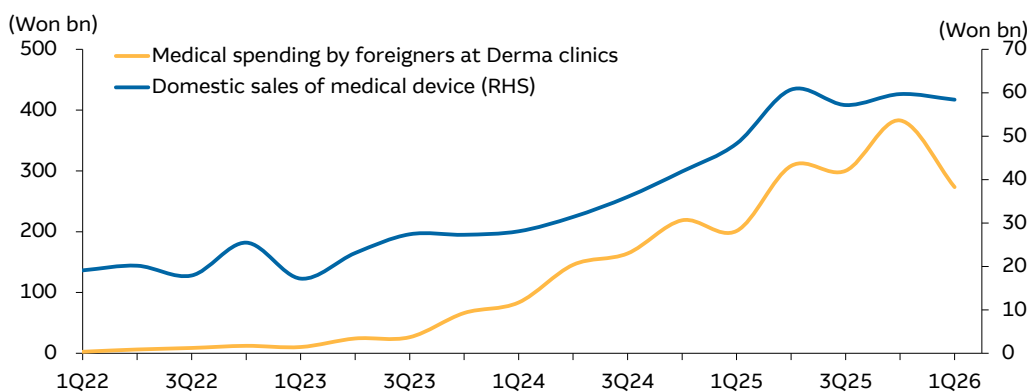
Figure 10 - Export trends to global markets



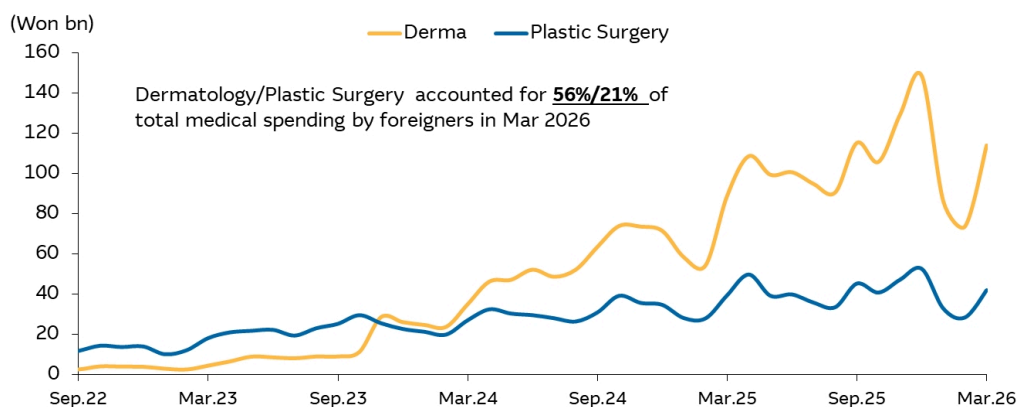
Source: KITA, Macquarie Research, May 2026

Figure 11 - Monthly trend in medical spending by foreigners

Source: Korea Tourism Organization, Macquarie Research, May 2026

Figure 12 - Rejuran domestic sales vs. medical spending by foreigners at derma clinics

Source: Korea Tourism Organization, company data, Macquarie Research, May 2026

Figure 13 - Foreigners' spending at dermatology clinics vs. plastic surgery

Source: Korea Tourism Organization, Macquarie Research, May 2026

Key Quant Findings

The quant model currently holds a reasonably negative view on Pharma Research. The strongest style exposure is Profitability, indicating this stock is efficiently converting investments to earnings; proxied by ratios like ROE or ROA. The weakest style exposure is Price Momentum, indicating this stock has had weak medium to long term returns which often persist into the future.

Macquarie Alpha Model: Key rankings

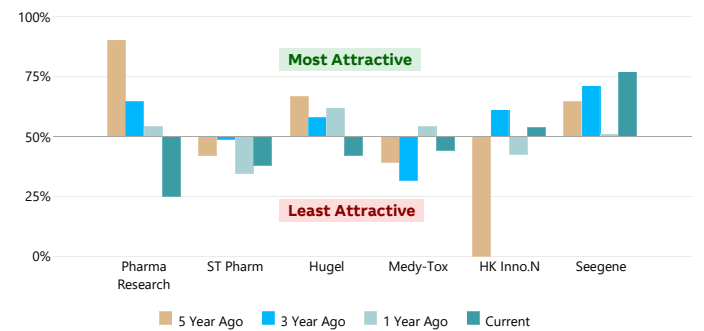
The Macquarie Quant’s flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Korea	Pharma, Biotech & Life Sciences
Macquarie Alpha Model	13492/17988	585/780	635/1210
Fundamental (Consensus) *	2434/17988	159/780	291/1210

* based on Total Shareholder Return = Consensus Price target / Current Price

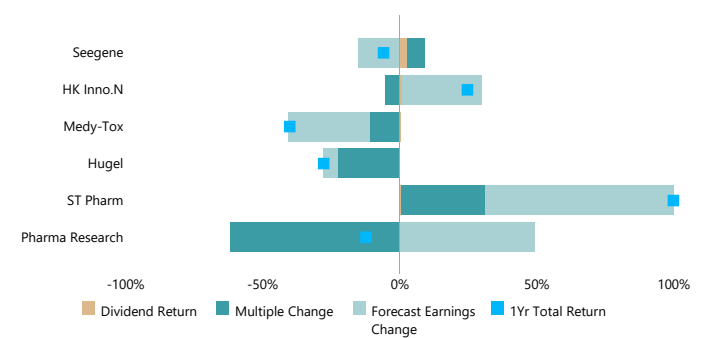
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company’s peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



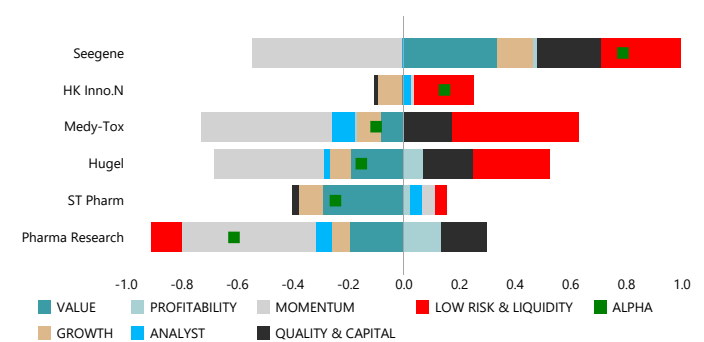
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/1210)	market (/780)	
ALPHA	48%	25%	Built from the styles below
VALUE	71%	44%	Book, CF, Yield, Earnings Multiples
ANALYST	39%	64%	Revisions (Earnings, Recommendations)
MOMENTUM	2%	5%	Price Momentum
GROWTH	16%	37%	EPS, Sales (Forecast, Historic)
PROFITABILITY	95%	95%	ROE, Margin, Asset Turnover
QUALITY	85%	88%	Accruals, Earn Stability, Cash Conversion
CAPITAL	76%	73%	Investment/Capex, Net share issuance
LIQUIDITY	17%	3%	Size, Turnover, Analyst Coverage
LOW RISK	57%	42%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	49%	47%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

Asia Ex JP	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Apr - 26	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25		
ALPHA	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	7%	5%
VALUE	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	10%	4%
ANALYST	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	15%	13%
MOMENTUM	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	2%	4%
GROWTH	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	4%	2%
PROFITABILITY	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	-5%	-2%
QUALITY	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	-6%	-2%
CAPITAL	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	1%	-4%
LIQUIDITY	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	-4%	2%
LOW RISK	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	-8%	-7%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapetitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/dr/rp/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

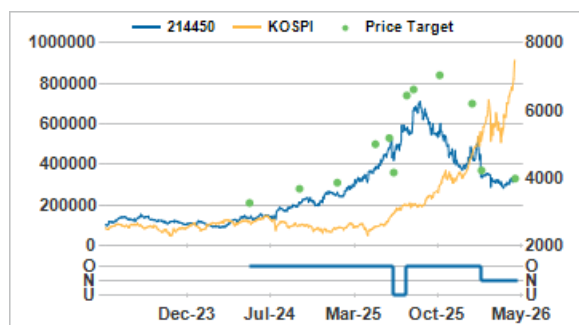
Company Name	Disclosure
Pharma Research (214450 KS) Neutral 12-month target: KRW330,000 - PER Valuation: KRW 330,000 - PER Price: KRW341,000	None

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Recommendation history

Company name	Date	Recommendation	Target price
Pharma Research (214450 KS)	8-May-2026	Neutral	KRW 330000.00
	7-Feb-2026	Neutral	KRW 370000.00
	13-Jan-2026	Outperform	KRW 700000.00
	18-Oct-2025	Outperform	KRW 840000.00
	9-Aug-2025	Outperform	KRW 770000.00
	22-Jul-2025	Outperform	KRW 740000.00
	17-Jun-2025	Underperform	KRW 360000.00
	5-Jun-2025	Outperform	KRW 530000.00
	29-Apr-2025	Outperform	KRW 500000.00



17-Jan-2025	Outperform	KRW 310000.00
8-Oct-2024	Outperform	KRW 280000.00
27-May-2024	Outperform	KRW 210000.00

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